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WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

# Grassroots Employment Research

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Last Week's S&P 500 Index:
-1.0%

**Key takeaways**

» *A recent trip to the small Colorado town of Crested Butte brought to light the tight labor market that exists for many service segment small businesses.*

» *Many of these businesses are hiking wages and prices in order to recruit and retain workers. This is not an isolated trend.*

Over the long Labor Day weekend, this strategist and his family made the journey to the hard-to-get-to resort town of Crested Butte, Colorado, 250 miles south of Denver. The flight was easy, but the drive from Denver requires focus and left little opportunity for the chauffer (yours truly) to soak in the incredible scenery. But our scenic drive is not the topic of this week's commentary.

While we had been to Crested Butte one time before, just over a year ago, this time something was different, and I noticed it as soon as we drove into town. Sure, there were new houses being built and remodeling and construction going on all over the place, just like you would see in many cities and towns across America. It takes a lot of activity for the U.S. economy to grow at a pace north of 4%. But what really caught my eye were the large number of "Help Wanted" signs. They were everywhere.

Crested Butte is a historic coal mining town that has been transformed into a skiing, hiking, fishing, and biking mecca. Fewer than 2,000 people are permanent residents, but the size doubles (or more) during the ski season and some portions of the summer. Once you get acclimated to the 9,000-foot elevation, there isn't much to complain about. Great restaurants and watering holes are spread out along the six-block stretch on the main drag, Elk Street. Art galleries, fly-fishing shops, and all sorts of high-end retail establishments dot the landscape.

According to the Census Bureau, the median age of residents is just 34 years old. Another interesting data point is that the median home value in town is a touch over $700,000—far above the U.S. median price. Crested Butte has attracted a lot of second home buyers with money to spend. Millennials largely make up the workforce that caters to this high-end crowd and are employed by the various eateries and retail stores. Most of these workers are not able to afford to live in town as rent and real estate prices have shot higher since the financial crisis.

Even in the transition between summer and the ski season, when most of the seasonal residents were gone, the demand for workers was very strong. This strategist talked to a number of restaurant, bar, and shop owners/managers about what appeared to be a meaningful labor shortage. They confirmed that businesses were desperate for workers. Many of the restaurants in town regularly recruited workers from the competition by offering higher wages and more hours. Some employers were even offering health insurance to managers and others, which is unusual for most restaurants and small retail stores. Now I understood why my steak on Sunday night cost $60. And the place was packed with locals and seasonal visitors. The velocity of money in Crested Butte does indeed appear high. The takeaway from this grassroots employment research is that the labor market is quickly getting tighter. While Crested Butte may be a small resort town, the same issues are prevalent all across the U.S. in these prosperous times. There finally seems to be wage pressure in the services segment. Services make up the vast majority of the U.S. economy. Keep a close eye on this trend.

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